

Data-Related Damages Claim

Shikari Inc. v. Ludens Inc.

Counsel Advisement Notice

The entirety of this document is a counsel advisory notice from the Offices of Clifford Chance to the client recipient, Shikari Inc., in the matter of the data-related damages claim by customer account of Shikari Inc., Ludens Inc.

Foreword

Client Profile — Shikari Inc. is an industry-established, top-tier data centre facility in the European Union, certified by the highest certifications of business continuity, ensuring 99.995% uptime per year. The client's data centre offers colocation services for express use and connectivity cloud services, allowing clients to store, access, use, and secure large volumes organisational data.

Plaintiff Profile — Ludens Inc., a provider of diagnostic services, proprietary technology, and diagnostic hardware to public and private entities, entered into a colocation agreement contract with the client, Shikari Inc. to make use of the storage data centres resources. Ludens Inc. data stored in Shikari Inc.'s data centre's included the following:

- “Commerical Know-How”: information on Ludens' clients, e.g. client lists, documents outlining Ludens' marketing strategy, sales, turnover, and financial data;
- “Technical Know-How”: documents listing the patents protecting Ludens' diagnostic tools describing the technology on which Luden relies (projects and drawings, manufacutirng and maintenance manuals, user manuals;
- “Health Data”: data relating to certain patients who were diagnosed using Ludens' diagnostic tools. Ludens processes health data by anonymising and aggregating individual pateint data and then selling the datasets of anonymous data to hopsitals and researchers.

Data-Related Damages Claim — Shikari Inc.'s data centre was recently the target of a cyber incident resulting in the confidential data proprietary to Ludens Inc. being hacked — the types of data is referenced in the *Plaintiff Profile*. In the aftermath of the incident, Ludens Inc. issued a warning letter seeking damages for the data breach. Ludens Inc. presented two grounds for the validity of their claims:

- Breach of Confidence Claim — Ludens' “Commerical Know-How” and “Technical Know-How” was material confidential information which gives Ludens an advantage over its competitors.
- Data Protection Claim — Under Article 5 of the General Data Protection Regulation (GDPR), Ludens' Inc. claims that Shikari Inc. failed to enact necessary security measures aimed at preventing unauthorised data processing.

The following Executive Summary evaluates the claims set forth by Ludens Inc.'s warning letter, identifies vulnerabilities in the Breach of Confidence and Data Protection Claims, and counsel recommendations expanded upon in the Defensive Strategy section.

Executive Summary

This Executive Summary outlines the legal evaluation and strategic response formulated by Clifford Chance on behalf of Shikari Inc. regarding the damages claim issued by Ludens Inc. following the cyber incident.

Ludens Inc. claims two causes of action: a 'breach of confidence' regarding its "Commercial" and "Technical Know-How," and a 'data protection claim' under Article 5 of the GDPR. Our office has concluded that Ludens Inc. has presented unsubstantiated claims that are legally vulnerable and fail to demonstrate their supposed financial/reputational loss.

Clifford Chance has established a four-pillar defensive strategy to counter these claims:

- 1. No Unauthorized Disclosure:** Shikari Inc. committed no voluntary or affirmative breach; the incident was the result of an external, third-party criminal cyber attack.
- 2. Shared Responsibility Model:** Under the signed colocation agreement, Shikari Inc.'s contractual duty was limited to securing the underlying infrastructure, leaving data-level encryption and management to Ludens Inc.
- 3. Public Domain Status:** The referenced "Technical Know-How" relies on public patent records and mass-distributed user manuals, which negates the required "quality of confidence" under trade-secret doctrine.
- 4. Unproven Damages:** Ludens Inc. has offered no real evidence that their competitors have accessed or actualized the stolen data, rendering their claim for lost competitive advantage purely speculative.

To maintain a defensible litigation position, Shikari Inc. must immediately execute three critical operational steps within the next 72 hours: issue a formal legal preservation hold across all internal teams, assemble all contractual and communications documentation, and submit a compliant breach notification to the relevant supervisory authority pursuant to GDPR Article 33. Through this structured defense, Shikari Inc. is well-positioned to refute liability and mitigate commercial exposure.

The following defensive strategy further expands on the contents within this summary.

Defensive Strategy

The claims made by Ludens Inc. rely on the concepts of a “breach of confidence” and a “failure to protect assets.” The Office of Clifford Chance has identified four pillars that combat the claims made by Ludens Inc.

Claim #1: “Ludens Inc.’s ‘Commerical Know-How’ and ‘Technical Know-How’ was material confidential information which gives Ludens an advantage over its competitors.”

Claim #2: Under Article 5 of the General Data Protection Regulation (GDPR), Ludens’ Inc. claims that Shikari Inc. failed to enact necessary security measures aimed at preventing unauthorised data processing.

The Office of Clifford Chance has reviewed the two claims made by Luden’s Inc and has provided the following four pillars as a defensive strategy response.

- *Counter-Argument #1: Lack of “Unauthorized Disclosure” by Shikari Inc.* — Shikari Inc. did not disclose or misuse the data provided by Ludens Inc. to house. The cyber incident targeted Shikari Inc. and was an independent third-party actor who gained access to Ludens Inc.’s data via the attack. A breach of confidence would indicate that Shikari Inc. performed voluntary, unauthorized disclsoure or misuse of confidential information without the consent of the data owner. The breach incident does not equate to Shikari Inc. intentionally breaching it’s obligation to ensure the safety of the data stored.
- *Counter-Argument #2: Shared Responsibility Model* — Ludens Inc. and Shikari Inc. entered into a colocation agreement, wherein Shikari Inc. would provide the physical space and network infrastructure for Ludens Inc. After reviewing the colocation agreement, the contract explicitly states that the responsibility of Shikari Inc. was expressly limited to securing the underlying infrastrucre and the responsibility of Ludens Inc. retains responsibility for encrypting, managing, and securing its own data.
- *Counter-Argument #3: Public Availability of “Technical Know-How”* — Ludens Inc. states that the “Technical Know-How” was material confidential information which gave an advantage over it’s competitors such as patents, maintenance guides, and user manuals. Certified legal patents are already published and recorded in public databases, i.e.: information that is already within the public domain to be accessed. Items such as maintenance guides and user manuals are distributed to customers and healthcare facilities. This indicates that they are not strictly confidential trade secrets, moreover, they are publically available documentation under mass distribution which can be considered value-add documentation.
- *Counter-Argument #4: Failure to Prove Measure of Loss and Damages* — Ludens Inc. presented a claim referencing “an advantage over competitors.” However, Ludens Inc. has failed to prove that the data exfiltrated by the third-party had been

accessed, used by, or replicated by one of its competitors. In addition, Ludens Inc. speculated monetary loss but has failed to demonstrate the financial value of the information that was exposed.

The Office of Clifford Chance has compiled next steps necessary in preparation for litigation against Ludens Inc. Our firm recommends 3 immediate steps to take within the next 72 hours to ensure full transparency and compliance is in order.

- *Preservation Notice* — Issue a formal ‘legal hold’ of information across all teams within Shikari Inc. to inform key actors within the organisation that the information regarding Ludens Inc. must be preserved. Email deletion policies, create essential back ups of all hardware and software in the case of a subpoena or audit. It is essential that management, IT, legal teams are brought on board to understand the situation and follow response playbooks to ensure operations continue to run smoothly while prioritizing this case.
- *Relevant Documentation* — All documentation with Ludens’ Inc. must be collected, compiled, and be prepared for access (i.e.: contracts, colocation agreements, Shikari Inc.’s privacy notices, correspondences, requests, and any other communications). Ludens Inc. filed a written claim with unsupported evidence, and are attempting to recover monetary compensation based on reputational/commercial damage. Our collective goal is to ensure the defense is supported by facts refuting their claims.
- *Article 33 GDPR Notice* — In the aftermath of the cyber attack, Shikari Inc. has 72 hours to report the incident to the GDPR, as stated in Article 33. It is imperative to produce to the GDPR and the courts that Shikari Inc. is mitigating the ramifications of the cyber incident. For information on how to proceed in filing this notice, work with the data controller of Shikari Inc. with the information requested in Article 33 section 3, subsections a-d.

We at the Offices of Clifford Chance are here to provide continued legal support during this time. Please contact our offices if more assistance is necessary.